TOPIC 1 · THE GLOBAL ECONOMY

Reuters · 1 Nov 2026

OPEC+ holds December output targets steady while the Iran war keeps supply tight

> Seven core OPEC+ members agreed to leave December production targets unchanged. The decision makes little difference because war disruptions have already pushed most producers well below their quotas.

WHAT HAPPENED

- The core group (**Saudi Arabia, Russia, Iraq, Kuwait, Algeria, Kazakhstan, Oman**) met online on Sunday 1 November. The UAE no longer takes part after leaving OPEC in May.
- Most members are producing **below their quotas** because of export disruptions from the Iran war, although Gulf producers are trying to export more.
- A **1.65 million barrel-per-day** cut from 2023 was fully unwound in September; about **2 million bpd** of other cuts still apply to most members until the end of 2026.
- All 21 members meet on **29 November** to set 2027 quotas, based on a capacity review due mid-November. The IEA warns of a possible **oversupply in 2027** if Gulf flows return to normal.

Key terms: cartel, production quota, supply-side shock, oversupply, commodity price cycle

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Core members in the decision

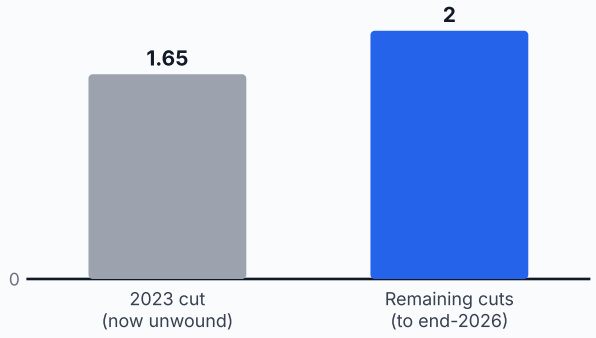
1.65m bpd
2023 cut fully unwound (Sept)

~2m bpd
Cuts still in place to end-2026

29 Nov
Full OPEC+ meeting on 2027 quotas

BAR CHART

OPEC+ production cuts (million barrels per day)



A **cartel** such as OPEC+ tries to influence the world oil price by setting **production quotas** for its members.

Quotas only matter when members can actually produce up to them. With Gulf exports disrupted, actual output is **below** the quota, so the price is being set by the **physical supply shock** in Hormuz, not by OPEC+ decisions.

Exam angle: if Hormuz reopens, supply could rise quickly while quotas are being reset, so prices could **fall sharply in 2027**. That would ease fuel inflation in Australia but lower export prices for Australian LNG producers.

FLOW CHART

What happens to prices if the strait reopens

Strait of Hormuz reopens → Gulf exports return toward normal → Supply exceeds demand (IEA warning) → World oil price falls → **Lower fuel inflation in oil importers**

SYLLABUS LINK

Topic 1 – international influences on world commodity prices; the role of producer groups (cartels) in global markets. **Topic 2** – commodity prices and Australia's terms of trade.

TRY THIS

1. Explain why an OPEC+ decision to hold output steady may have little effect on oil prices when members are already producing below quota. **(3 marks)**
2. Discuss how a world oil oversupply in 2027 could affect Australia's inflation rate and terms of trade. **(5 marks)**

Reuters via GV Wire: gvwire.com/2026/11/01/opec-keeps-december-oil-output-targets-steady-ahead-of-tougher-call-for-2027/